PLANNING NOTE

Memory and storage: what is already committed for 2027

The makers have contracted most of next year's output, and the capacity meant to relieve it does not produce inside next year. This note sets out what is fixed, where room remains, and when each decision is actually due.

Prepared for chief procurement officers and vice presidents of sourcing and supply chain
Evidence to 3 November 2026

> Three of the five largest suppliers have told their own investors how much of 2027 is already sold. Micron puts it above 75% of fiscal 2027 shipments. SK Hynix's long-term agreements cover more than half of its 2027–28 capacity. Seagate has contracted both configuration and price for the entirety of calendar 2027.

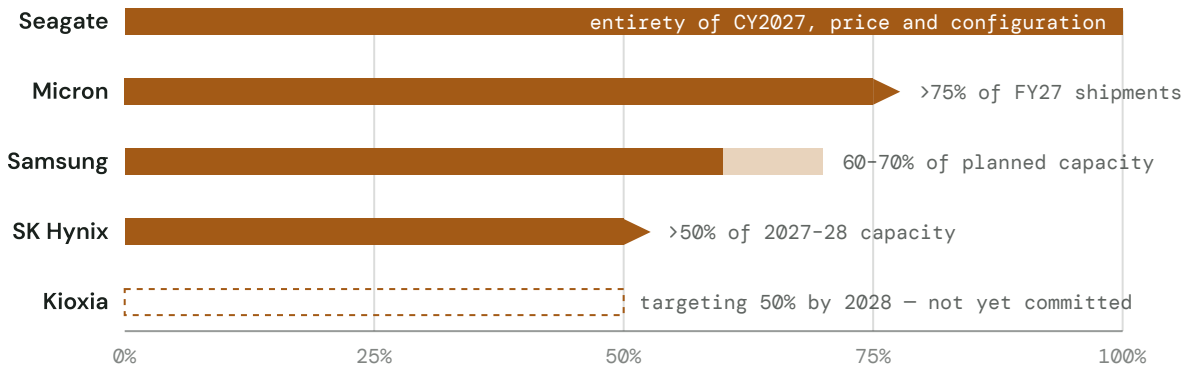
This note contains no price forecast. Every statement in it was made publicly by a named company about its own plans, on a dated earnings call or in a filed document, and is cited where it appears. What makes it worth an executive's time is not that it predicts next year, but that it establishes how much of next year has already been decided — which determines where a negotiation can still achieve something and where it cannot.

01 What is already committed

The pattern across the five suppliers is consistent, and over the past year it has changed in kind rather than degree. Supply that was once allocated informally is now contracted, for multiple years, with cash attached. Micron has said explicitly that its earlier agreements carried no binding terms and were “more of a handshake”, while the agreements it signs now bind both sides. Samsung and SK Hynix both require money up front.

For a buyer the practical consequence is that the negotiable share of 2027 is small, and very unevenly distributed. Four of the five have little left to sell for next year. One does.

FIGURE 1 · HOW MUCH OF 2027 EACH SUPPLIER HAS ALREADY COMMITTED



The bases are not identical and the chart should not be read as if they were. Each bar is drawn to the figure that supplier itself disclosed, with the measure written beside it; arrows mark “more than”, and the dashed bar is a target rather than a position.

Micron: “more than 75% of fiscal 2027 shipments are already committed”, with allocation discussions moved out to 2028 — FQ4-26 call, 30 Sep 2026. **SK Hynix:** agreements with fourteen key customers, typically five years, covering more than 50% of 2027-28 capacity, with deposits required — Q3-26 call, 28 Oct 2026. **Samsung:** multi-year contracts are 60-70% of planned capacity and advance payments are “a contractual requirement” maintained across the term — Q1-26 and Q2-26 calls. **Seagate:** contracts “define both product configuration and pricing terms, covering the entirety of calendar 2027”, with nearline allocated into 2028 — Q4-26 call. **Kioxia:** targeting only 50% of shipments under agreement by 2028, the agreement year itself being 2028 — Q1-26 call.

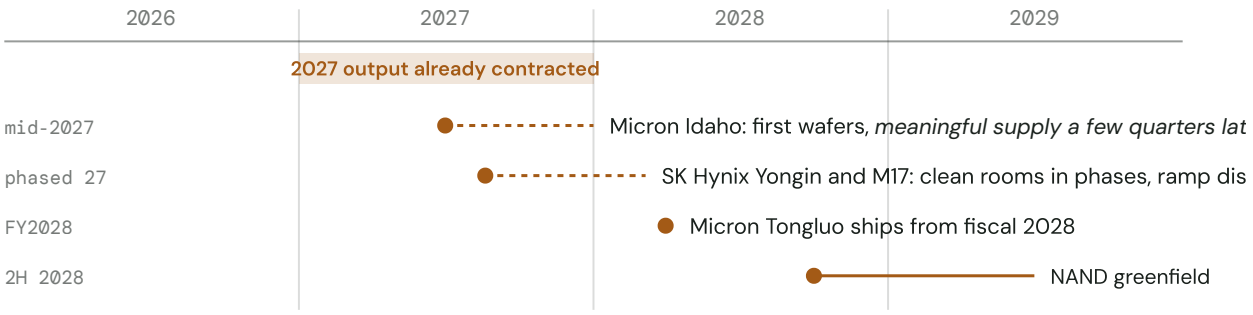
> The implication is uncomfortable but useful. Where a supplier has already contracted 2027, a negotiation about 2027 price is a negotiation against signed paper. For Micron, SK Hynix and Seagate

> the live commercial window is **2028**. For Kioxia it is now.

02 When new capacity actually produces

Capital expenditure across the industry is rising steeply, and it is tempting to read that as relief arriving. The companies building the capacity describe something slower. A clean room takes roughly two years to construct, equipment lead times have lengthened, and several of the programmes announced for 2027 are buying building shells rather than output. Samsung has said plainly that higher 2027 spending will not lift 2028 bit supply by much, because much of it buys space and because construction and tool costs have inflated the figure itself.

FIGURE 2 · WHEN THE ANNOUNCED CAPACITY REACHES OUTPUT



Not one of these programmes delivers output inside the window being contracted now. Positions are taken from the dates each company gave for its own programme.

Micron: first wafer output from Idaho in mid-2027 with meaningful supply a few quarters later; Tongluo ships from fiscal 2028; most of the fiscal 2027 construction increase is for clean rooms coming online in late 2028 and beyond — FQ3-26 and FQ4-26 calls. **SK Hynix:** at Yongin and M17 the shells are built early but clean rooms open in phases, and ramp "will be adjusted in line with demand" — Q3-26 call, 28 Oct 2026. **Samsung:** higher 2027 capital expenditure will not lift 2028 bits much, because much of it buys space and because construction and tool costs inflate the figure — Q3-26 call, 29 Oct 2026. **Lam Research:** clean room space is "the constraining item… through next year for sure", a new clean room takes about two years, roughly ten new tier-one fabs come online during 2027, and NAND greenfield capacity arrives only from the second half of 2028 — Citi TMT, 9 Sep 2026 and CQ3-26 call.

03 Where room remains, on the suppliers' own evidence

The position is not uniformly adverse, and the openings in it come from the suppliers rather than from any interpretation of ours. Four are worth putting into a negotiation.

The suppliers have said the increases moderate. Micron's chief financial officer described fiscal 2027 margin expansion as resting on "continued price increases, albeit at a more moderate pace", adding that "we have said for some time that eventually price increases would moderate". A buyer should expect an increase and argue about its size against the supplier's own characterisation of it.

Two of them have said their prices are reducing demand. SK Hynix expects personal computer and mobile shipments to fall because of higher memory prices. Samsung has reported that smartphone volumes already fell and expects 2027 unit volumes to decline. TSMC describes price-sensitive end segments as "being challenged" by rising component costs. The scarcity account is therefore not uniform across end markets, and the suppliers established that themselves.

DDR4-class parts have second sources adding capacity. Winbond's DRAM bit shipments rose about 25% in a single quarter as 16-nanometre capacity ramped, and it describes the DDR4 and LPDDR4 supply gap as evident through 2028. Nanya's bits stay flat only until new fab output arrives in the second half of 2027. Where a part is DDR4-class, the assumption that it is single-sourced is likely to be wrong.

Kioxia remains the uncommitted supplier. Against Samsung at 60–70% of capacity and Micron above 75% of fiscal 2027, Kioxia is targeting only half its shipments under agreement by 2028. Its gross margin sits at a six-year high while capital spending runs at 12% of revenue, against its own 40% in fiscal 2022. The binding constraint for a buyer here is qualification time rather than availability, which argues for starting now.

04 Three decisions, and when each is due

Before fiscal 2027 commitments are signed	**Whether to prepay for allocation.** Samsung requires advance payments and SK Hynix requires deposits, which makes this a capital allocation decision rather than a procurement one. It reduces to arithmetic: a prepayment is worth making only if the discount it secures exceeds what that cash earns over the period it is held, before any allowance for volume that may not be needed. Setting the annual ceiling and the approver in advance prevents the decision being made by default under allocation pressure.
Before any quantity is committed	**Whether to commit capacity rather than quantity.** The suppliers describe themselves as buying planning visibility. A reserved share of output, with the quantity drawn against it set quarterly within an agreed band, provides that visibility without committing to a number the buyer cannot forecast. This is untested: nothing in the public record indicates that any of the five has written an agreement that way.
First quarter 2027 at the latest	**Whether to qualify the second source while it is still available.** Kioxia for NAND, Winbond and Nanya for DDR4-class DRAM. Qualification takes longer than the window allows: Kioxia's agreement year is 2028 and Nanya's new output arrives in the second half of 2027.

05 Two cautions on the evidence

On published price forecasts. TrendForce, the source most widely used for contract price planning, came in between 20 and 40 points below the outcome in every quarter we can measure. It raised its fourth-quarter 2026 DDR5 figure from 10–15% to about 20% on 20 October, after the third quarter settled near 40%, and its August projection has the first quarter of 2027 at about 9% with prices levelling from mid-year. The same lag should be expected at the turn — precisely when buyers will be committed to agreements priced off today's figures.

On the suppliers' own outlooks. Samsung expects it "unlikely to see any significant increase in incremental supply through 2028", and SK Hynix describes the constraint as one "projected to continue through 2030". These are forecasts made by parties that benefit from being believed. They are on the public record and worth knowing; they are not a sound basis for accepting a contract term.

> We publish no view of our own on where prices go. Where the filed record will not settle a question, this note says so rather than estimating — including whether a particular increase is justified by cost, which cannot be answered from published accounts and needs unit cost data only the supplier holds.

Sources. Earnings calls, investor presentations and filed statements for the quarters cited beside each statement: Micron Technology, SK Hynix, Samsung Electronics, Kioxia Holdings, Seagate Technology, Nanya Technology, Winbond Electronics, Lam Research and TSMC, together with TrendForce press releases for the forecast comparison. Evidence to 3 November 2026. Each quotation was verified against its source document before publication, and a quotation that failed verification is not shown. Nothing in this note is a price forecast or a prediction of shortage; where a statement is a supplier's own outlook rather than a filed fact, it is identified as such. Semitrical · semitrical.ai · contact@semitrical.ai. Built from public filings. First-pass analysis to support your own review, and not legal, investment or professional advice.